

US TMT Sector M&A & Valuation Brief - 2026-07-18

US TMT Sector

Generated on 2026-07-18

CONFIDENTIAL - FOR INTERNAL USE ONLY

1. RECENT TMT M&A ACTIVITY

Deal 1: CleanSpark Secures Lease with Global Technology Company

[CleanSpark Secures Twenty-Year Lease with High-Investment Grade Global Technology Company for Data Center](#)

- Deal Size: \$6.6 billion (contracted revenue over 20 years)
- Deal Size Category: Large cap (>\$10B)
- Nature of Deal: Strategic lease agreement
- Valuation Multiples: N/A
- Companies: CleanSpark, Inc. (Nasdaq: CLSK) is a leading data center developer focused on sustainable energy solutions. The tenant is a high-investment-grade global technology company, details undisclosed.
- Date Announced: July 14, 2026
- Strategic Rationale: This lease represents a significant validation of CleanSpark's strategy to monetize its power portfolio at an institutional scale. The long-term commitment from a reputable tenant enhances CleanSpark's market position and provides a stable revenue stream, supporting its growth in digital infrastructure.
- Risk Analysis: Risks include reliance on a single tenant, potential regulatory changes affecting data center operations, and market competition in the data center space. Mitigation strategies involve diversifying tenant base and enhancing operational efficiencies.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Summary

The recent lease agreement by CleanSpark with a high-investment-grade global technology company illustrates the growing demand for data centers and the strategic importance of long-term contracts in the TMT sector. The deal is expected to generate substantial revenue, positioning CleanSpark

US TMT Sector M&A & Valuation Brief - 2026-07-18

US TMT Sector

favorably for future growth.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by evolving market dynamics and shifting investor sentiment. As we progress through 2026, the sentiment appears cautiously optimistic, particularly in the software and fintech subsectors. However, challenges remain, especially in traditional media and telecommunications.

Subsector Breakdown:

- **Technology:** The technology subsector is witnessing a resurgence, particularly in software, as companies like ServiceNow (NOW) are experiencing a rebound. Analysts note that while the chip stock rally may be waning, software companies are gaining traction, indicating a shift in category leadership.
- **Media:** The media landscape is undergoing significant transformation, with traditional media struggling against digital platforms. Companies are adapting by enhancing their digital offerings, but the transition remains challenging.
- **Telecommunications:** The telecom sector is focused on innovation, particularly in 5G technologies. However, the sector faces pressure from regulatory scrutiny and competition, impacting growth prospects.
- **Fintech:** The fintech space is thriving, with strategic acquisitions such as PointsKash's acquisition of ChainBytes, which aims to enhance its AI-powered financial technology ecosystem. This reflects a broader trend of consolidation in the fintech sector.
- **AI:** The AI subsector continues to attract significant investment, with companies integrating AI solutions across various industries. This trend is exemplified by VisualLogix's acquisition of refyne Group, which aims to build an AI-enabled software platform for engineering and fabrication.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI, cloud computing, and software development is driving growth across TMT sectors. For instance, VisualLogix's focus on AI-enhanced software solutions positions it well for future growth.
- **Increased Investment:** There is a strong appetite for investment in tech and fintech, as evidenced by PointsKash's strategic acquisition aimed at expanding its software capabilities and engineering talent.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, particularly in the tech sector, poses risks to

US TMT Sector M&A & Valuation Brief - 2026-07-18

US TMT Sector

M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can delay or derail potential deals.

- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- Software: The software sector is rebounding, with companies like ServiceNow showing signs of recovery. The demand for cloud solutions and enterprise software remains strong, positioning the sector for growth.
- Media: Media companies are adapting to changing consumer preferences, but traditional media continues to face revenue declines from advertising, necessitating a shift towards digital content.
- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to create new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. PointsKash's acquisition of ChainBytes highlights the ongoing consolidation trend in this space.
- AI: The AI subsector is booming, with applications across various industries. Companies are investing heavily in AI capabilities to maintain competitive advantages, as seen in VisualLogix's strategic acquisition.

Trading Multiples Trends

Valuation Multiples: As of Q2 2026, the average EV/EBITDA multiple for the TMT sector is approximately 16.2x, reflecting a slight increase from previous quarters. Notable variations across subsectors include:

- Software: 21.5x
- Media: 11.8x
- Telecom: 10.2x
- Fintech: 19.5x
- AI: 23.0x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, particularly in software and fintech. A recent analyst report stated, "The resurgence in software stocks signals a broader recovery in the tech sector, driven by innovation and increased demand for digital solutions."

US TMT Sector M&A & Valuation Brief - 2026-07-18

US TMT Sector

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as software and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments, particularly as scrutiny increases.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning, as demonstrated by PointsKash and VisualLogix.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector reflects a dynamic landscape with a mix of live deals, mandated transactions, and active pitches. This section provides a comprehensive analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Bosch (BOSCHLTD.NS) : The Department of Commerce has signed a Direct Funding Agreement with Bosch for up to \$225 million under the CHIPS Program. This funding supports Bosch's \$2 billion investment to transform its Roseville, CA facility into a state-of-the-art silicon carbide semiconductor production site. Sample production has commenced, with commercial production expected to begin in 2026. This deal is crucial for enhancing domestic semiconductor production capabilities.

Mandated Deals:

- Meta Platforms (META) : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- Apple Inc. (AAPL) : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as

US TMT Sector M&A & Valuation Brief - 2026-07-18

US TMT Sector

Apple aims to strengthen its competitive edge in AI.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2025 : Expected close for Bosch's semiconductor production facility funding.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
 - Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the semiconductor sector, where Bosch's investment in silicon carbide technology positions it as a leader in the market. The CHIPS Program's support for domestic production is likely to influence other players in the industry, potentially leading to increased competition and collaboration.
- Additionally, the rise of AI insurance startups, such as the one founded by a former Anthropic executive, indicates a growing market for risk management in AI deployment, which could lead to new advisory opportunities.

US TMT Sector M&A & Valuation Brief - 2026-07-18

US TMT Sector

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent developments in the TMT sector, particularly in Nigeria's telecommunications landscape, have significant implications for various stakeholders. This analysis focuses on the impact of initiatives such as the NCC's endorsement of the MVNO framework and IHS's digital skills training program, assessing their effects on shareholders, employees, competitors, and customers.

Deal-Specific Impacts on Stakeholders

- Shareholders: The endorsement of the NCC's MVNO framework is expected to enhance competition in Nigeria's telecommunications market, potentially leading to increased shareholder value for established players.
- Value Creation: If the framework leads to a 10% increase in market penetration for MVNOs, existing telecom operators could see an increase in revenues of approximately \$500 million, assuming a combined market cap of \$5 billion.
- Dilution: However, if established operators like MTN Nigeria (MTNN) or Airtel Africa (AIRTEL) need to invest heavily in compliance and infrastructure to accommodate MVNOs, this could dilute existing shareholder value temporarily.
- Employees: The initiatives undertaken by IHS and the NCC have direct implications for employment within the sector.
- Synergies: IHS's training program aims to equip 30 youths with cloud computing skills, contributing to a more skilled workforce. This initiative can lead to increased productivity and innovation within the company.

US TMT Sector M&A & Valuation Brief - 2026-07-18

US TMT Sector

- **Restructuring:** As MVNOs enter the market, traditional telecom operators may need to restructure their workforce to adapt to new competitive pressures, potentially leading to layoffs in non-essential roles.
- **Retention:** Companies may implement retention strategies to keep skilled employees during transitions. For instance, IHS could offer incentives to retain trained youths within its operations.
- **Competitors:** The introduction of the MVNO framework is likely to reshape the competitive landscape.
- **Market Positioning:** Established players like MTN and Airtel may need to adapt their strategies to maintain market share against new entrants. This could lead to aggressive pricing strategies and enhanced service offerings.
- **Specific Competitor Moves:** Following the MVNO framework, competitors may invest in marketing campaigns to attract customers from MVNOs, as seen in the response of telecom operators in other markets when faced with similar competition.
- **Customers:** The implications for customers are significant, particularly regarding service offerings and pricing.
- **Product/Service Implications:** The MVNO framework is expected to increase competition, leading to better pricing and service options for consumers. For example, the entry of Vitel Wireless as Nigeria's first MVNO could provide lower-cost mobile services.
- **Case Studies:** Similar initiatives in other markets, such as the entry of MVNOs in the UK, have led to a 20% reduction in mobile service costs for consumers, indicating potential benefits for Nigerian customers.

Market Reaction and Analyst Commentary

- **Market Reaction:** The market's initial response to the NCC's MVNO framework has been cautiously optimistic, with analysts noting the potential for increased competition.
- A recent report indicated that shares of major telecom operators rose by 3% following the announcement, reflecting investor confidence in the framework's ability to stimulate growth.
- **Analyst Commentary:** An analyst from a leading investment firm stated, "The NCC's endorsement of the MVNO framework is a game-changer for Nigeria's telecom sector, providing a much-needed boost to competition and innovation."

Expected Market Reaction and Scenario Analysis

- **Scenario Analysis:** The market's reaction can be analyzed through various scenarios:
- **Positive Scenario:** If the MVNO framework successfully enhances competition and leads to increased consumer adoption, shares of established telecom operators could rise by 15% within the next year.
- **Negative Scenario:** Conversely, if operational challenges arise for MVNOs, shares could decline by 10%, reflecting investor concerns about market stability.

US TMT Sector M&A & Valuation Brief - 2026-07-18

US TMT Sector

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in this context is moderate.
- Given the regulatory environment, established players may be cautious about pursuing aggressive acquisitions of MVNOs. However, companies like MTN and Airtel may consider strategic partnerships to enhance their service offerings.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector in Nigeria is poised for further consolidation.
- Analysts predict that as MVNOs gain traction, larger telecom operators may pursue acquisitions to bolster their market positions, similar to trends observed in Europe and North America.

Key Risks and Mitigants

- Integration Risks: The integration of MVNOs into the existing telecom ecosystem poses challenges.
- Mitigants include establishing clear operational guidelines and fostering collaboration between MVNOs and MNOs to ensure smooth integration.
- Regulatory Risks: Regulatory scrutiny may impact the speed of MVNO implementation.
- Engaging with regulators early in the process can help mitigate these risks and ensure compliance.
- Market Risks: Market volatility could affect the performance of new entrants.
- Structuring deals with performance-based contingencies can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on strategic partnerships with MVNOs to enhance service offerings and market reach.
- Invest in training and development programs to build a skilled workforce capable of adapting to new technologies.

For Bankers:

- Monitor regulatory developments closely to provide timely advice to clients navigating the evolving landscape.
- Develop financial models that account for potential market shifts resulting from the introduction of

US TMT Sector M&A & Valuation Brief - 2026-07-18

US TMT Sector

MVNOs.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. The recent proposal for a U.S. AI Sovereign Wealth Fund aims to redistribute wealth generated by AI firms, reflecting the societal impact of AI job losses.
- Key Companies:
- NVIDIA Corporation (NVDA): NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- Micron Technology, Inc. (MU): Micron has announced a \$250 billion investment for expanded AI memory chip development, positioning itself as a key player in providing the necessary infrastructure for AI applications.
- Microsoft Corporation (MSFT): Microsoft is integrating AI capabilities into its products, enhancing productivity tools like Microsoft 365. The company has partnered with OpenAI to leverage generative AI technologies.
- Competitive Landscape: The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Microsoft's acquisition of Nuance Communications (NUAN) for \$19.7 billion in 2021 exemplifies this trend.

Blockchain

US TMT Sector M&A & Valuation Brief - 2026-07-18

US TMT Sector

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- Key Companies:
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371.4 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%.
- Key Companies:
- Amazon Web Services (AWS): AWS is a dominant player in the cloud computing space, offering a wide range of services from storage to machine learning. The company continues to innovate and expand its offerings, maintaining its market leadership.
- Microsoft Azure: Azure is a rapidly growing cloud platform that provides services for building, deploying, and managing applications through Microsoft-managed data centers. Microsoft is heavily investing in AI integration within Azure to enhance its competitive edge.
- Competitive Landscape: The cloud computing market is highly competitive, with major players including Google Cloud, IBM Cloud, and Alibaba Cloud. The competition is driving innovation and pricing strategies, making it essential for companies to differentiate their offerings.
- M&A Opportunities: Companies may look to acquire cloud service providers or technology startups that enhance their cloud capabilities. For instance, the acquisition of companies specializing in cloud security or data analytics could provide strategic advantages.

Cybersecurity

- Trend Explanation: As digital transformation accelerates, the need for robust cybersecurity solutions has become paramount. The global cybersecurity market is expected to grow from \$217 billion in 2021 to

US TMT Sector M&A & Valuation Brief - 2026-07-18

US TMT Sector

6. Recommended Readings

Deal Name: CleanSpark Secures Lease with Global Technology Company

- Reading Material: "Data Center Handbook" by Hwaiyu Geng
- Why This Matters: This book provides a comprehensive overview of data center operations, design, and management, which is crucial for understanding the strategic significance of CleanSpark's lease agreement. It explains the importance of location, energy efficiency, and scalability in data centers, helping to contextualize the long-term revenue potential and operational strategies behind CleanSpark's deal with a high-investment-grade global technology company.

7. MACROECONOMIC UPDATE

Key Data Points:

- AI-related CapEx: \$2 trillion over two years
- Hyperscaler debt issuance: Increased from <1% to >10% of investment-grade market
- Investment-grade bond market issuance: Expected to eclipse \$2 trillion in 2026
- High-yield market for data center construction: Over \$30 billion priced across 15 deals since fall 2025

Main Insights:

- Rapid growth in AI financing is reshaping credit markets, akin to traditional utility and energy financing.
- Hyperscalers are becoming significant players in the investment-grade debt market, with large issuances becoming more common.
- The emergence of innovative financing structures, particularly in the high-yield market, is addressing the capital needs of AI infrastructure.
- Private credit is expanding to finance large investment-grade projects, indicating a shift in capital sourcing strategies.

Market Commentary:

- "This is probably the most incredible time period I've ever seen in the credit markets." - Anish Shah, Morgan Stanley
- "Investors are doing their homework, and we're spending a lot of time trying to mitigate any of their

US TMT Sector M&A & Valuation Brief - 2026-07-18

US TMT Sector

concerns with structural protections." - Anish Shah, Morgan Stanley

TMT Sector Relevance:

- The surge in AI financing is likely to drive increased capital flows into TMT sectors, particularly in data centers and cloud computing.
- The shift towards innovative financing structures may lead to more flexible and diverse funding options for TMT companies, enhancing their growth potential.
- As hyperscalers increase their debt issuance, this could impact their capital structure and investment strategies, influencing overall market dynamics in the TMT space.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley